

Super Micro: what the filings said

Credit committee · 30 June 2025

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M-SCORE, 6 MAY 2024

+0.29

F-SCORE, 6 MAY 2024

4.01

SEC CASES FLAGGED

9 of 14

LATEST 10-Q, MAY 2025

M -0.91 · F 1.9

01 Summary

Super Micro Computer was one of the market's best performers in early 2024 and joined the S&P 500 in March. Within months it faced a short report (27 August), a delayed 10-K, a Justice Department probe and the resignation of its auditor, Ernst & Young, which said it could no longer rely on management's representations. The shares fell 78% from the 10-Q of 6 May 2024 to the low of 14 November. The delayed fiscal 2024 10-K, filed on 25 February 2025, restated nothing, but carried an adverse opinion on internal controls.

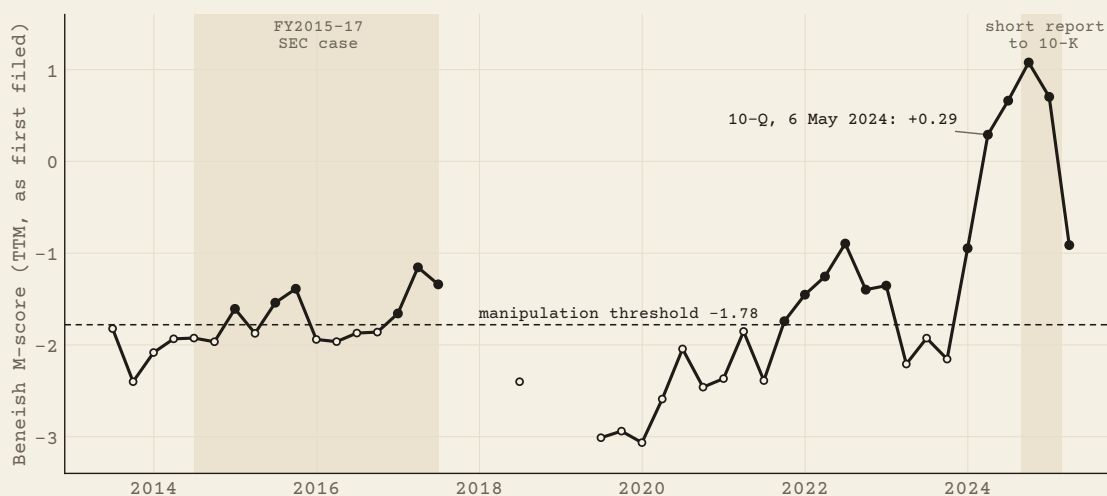
This memo asks whether the financial statements themselves carried the warning. It rebuilds every Super Micro quarter since 2013 from SEC XBRL filings **as first published**, and runs the Beneish M-score and the Dechow F-score, two standard screens for earnings manipulation. By the 10-Q of 6 May 2024 the M-score was **+0.29** against a **-1.78** threshold and the F-score **4.0**, above 97.6% and 99.6% of US filers. The driver was cash: **\$1.05bn of profit against -\$1.85bn of operating cash flow**, with receivables up 146% on sales up 80%. The same screen flagged 6 of 12 quarters in fiscal 2015 to 2017, the years the SEC later found misstated.

CONCLUSION

The numbers carried the warning, but a screen is a trigger for questions, not a verdict: it caught 9 of 14 SEC cases while flagging 12% of all filers. Lend to Super Micro in June 2025 only with cash-based protection: covenants on operating cash flow and inventory, an audited borrowing base, and triggers on auditor changes or late filings.

02 Twelve years through the M-score

Each point is the trailing twelve months at a quarter end, built only from filings made by that quarter's own report date. The **Beneish M-score** combines eight indices (receivables, margins, asset quality, growth, depreciation, overheads, accruals, leverage); the **Dechow F-score** reads accruals, receivables, inventory, soft assets and issuance against a 0.37% base rate. Filled dots are above the **-1.78** threshold: fiscal 2015 to 2017, fiscal 2022 (M -0.90, nothing restated) and 2024.



03 What the screen saw on 6 May 2024

In the twelve months to 31 March 2024 Super Micro reported \$11.82bn of sales, up 80%. Inventory reached \$4.12bn, 152 days of cost of sales against 105 a year earlier. From a neutral company ($M = -2.48$), accruals added **+1.53** to the M-score, sales growth **+0.71** and receivables **+0.34**. Growth alone moves the M-score: Nvidia, growing faster still, also crossed **-1.78**. What set Super Micro apart was that its profit did not turn into cash.

TTM, AS FIRST FILED	SUPER MICRO	NVIDIA	DELL	HPE
Period end	2024-03	2024-04	2024-05	2024-04
Sales growth	80%	208%	-8%	-4%
Receivables growth	146%	203%	-9%	3%
Operating cash flow / net income	-1.77×	0.95×	2.21×	3.06×
Accruals / assets	48.2%	3.4%	-5.3%	-6.5%
M-score	+0.29	-0.58	-2.82	-2.78
F-score	4.01	0.79	1.46	0.58

Peers at the quarter nearest March 2024 filed before 26 August 2024. HPE's gross margin is not tagged in a standard concept, so its margin index is set to neutral. Only 1.7% of 1,235 US operating companies carried both flags in 2023.

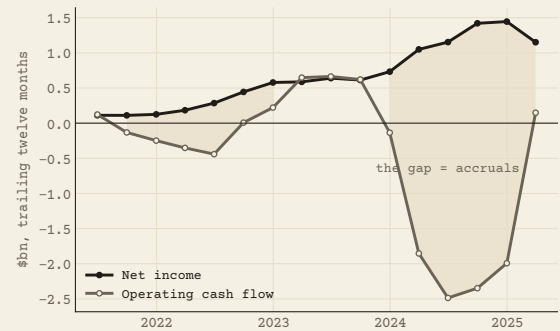
04 Would the screen have worked before?

The same screen was run on 16 companies the SEC later charged, or that restated, for inflated earnings, using each misstated year's figures as first filed; 14 have usable XBRL data. Flagging either score caught **9 of 14** companies in at least one misstated year, against 12% of all filers in 2023: about 3.6 times the base rate. Requiring both flags, Super Micro's 2024 profile, was rarer and sharper, at 8 times.

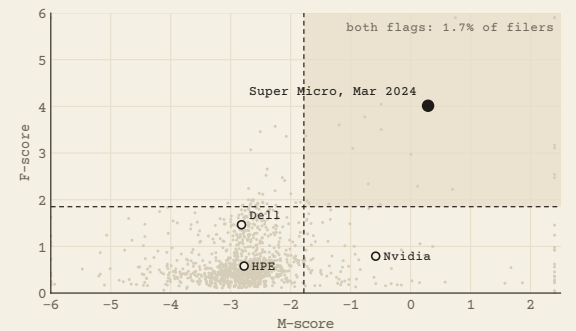
RULE	MISSTATED YEARS FLAGGED	COMPANIES CAUGHT	ALL FILERS FLAGGED	LIFT
M-score above -1.78	10 / 29	8 / 14	9.0%	3.8×
F-score above 1.85	6 / 29	4 / 14	4.3%	4.8×
Either flag	12 / 29	9 / 14	11.6%	3.6×
Both flags	4 / 29	3 / 14	1.7%	8.1×

The misses are telling: Synchronoss, comScore, Iconix Brand, Granite Construction, Kraft Heinz. Their schemes (non-cash swaps, cost estimates, supplier rebates) barely move receivables or operating cash flow, which is what both models read. The screen also flags companies that are simply growing fast: Super Micro itself in fiscal 2022 ($M -0.90$), with no restatement since. Misstatements are far rarer than one filer in nine, so most companies it flags are not manipulating.

NET INCOME VS OPERATING CASH FLOW, \$BN, TTM



EVERY US FILER IN 2023: M-SCORE VS F-SCORE



05 Where it stands in June 2025

The audited fiscal 2024 accounts are the worst reading in the series: M-score +0.66, F-score 6.1, operating cash flow -\$2.49bn against \$1.15bn of profit. The latest 10-Q is better. In the twelve months to March 2025 operating cash flow turned positive, inventory days fell to 74 and the F-score came down to 1.9; the M-score is still above the line, now mainly on growth.

FILING	6 MAY 2024 (TTM MAR 24)	FY2024 10-K (FEB 25)	12 MAY 2025 (TTM MAR 25)
Sales	\$11.82bn	\$14.99bn	\$21.57bn
Net income	\$1.05bn	\$1.15bn	\$1.15bn
Operating cash flow	-\$1.85bn	-\$2.49bn	\$0.15bn
Inventory days	152	122	74
Accruals / assets	48.2%	53.9%	10.2%
M-score	+0.29	+0.66	-0.91
F-score	4.01	6.13	1.91

Outside the ratios. An SEC case for fiscal 2015 to 2017 (\$17.5M penalty, 2020); three auditors in two years (Deloitte, EY, BDO); late-filing notices in 2015, 2017, 2018, 2019 and 2024; an adverse opinion on internal controls; DOJ and SEC subpoenas disclosed in February 2025. On the other side: no restatement, a special committee that found no misconduct, and cash now backing the profit.

DATE	EVENT	DAY RETURN	ABNORMAL (BETA 3.0 TO 000)
27 Aug 2024	Hindenburg Research publishes its short report	-2.6%	-3.5%
28 Aug 2024	10-K for fiscal 2024 delayed	-19.0%	-15.6%
30 Oct 2024	Ernst & Young resigns as auditor	-32.7%	-30.4%
19 Nov 2024	BDO appointed; compliance plan filed with Nasdaq	31.2%	29.2%
2 Dec 2024	Special committee finds no misconduct	28.7%	25.4%
26 Feb 2025	10-K filed the day before, no restatement	12.2%	11.5%

06 Recommendation

- **Lend only with cash-based protection.** Covenants on operating cash flow and inventory rather than EBITDA, and a borrowing base audited on receivables and inventory.
- **Ask for what the ratios cannot see.** Reporting on purchases from related-party suppliers, and a trigger on any new auditor change, late filing or regulatory finding.
- **Use the screen as a filter.** Re-run it on each 10-Q; the next two quarters show whether cash keeps backing the profit.

07 Limitations

- Both models were estimated on older samples; thresholds are conventions, not calibrated probabilities. Missing XBRL tags set an index to neutral.
- The false-alarm rate comes from the 2023 cross-section while the SEC cases span 2011 to 2019, so the lifts are indicative.
- Nothing here states that Super Micro's fiscal 2024 or later accounts are misstated; no regulator had reached a conclusion by 30 June 2025.

Sources. SEC EDGAR XBRL and submissions; prices from DoltHub. SEC release 2020-190; Super Micro 8-K (30 Oct 2024), committee release (2 Dec 2024), fiscal 2024 10-K; Hindenburg (27 Aug 2024). Beneish (1999); Dechow et al. (2011); Richardson et al. (2005).